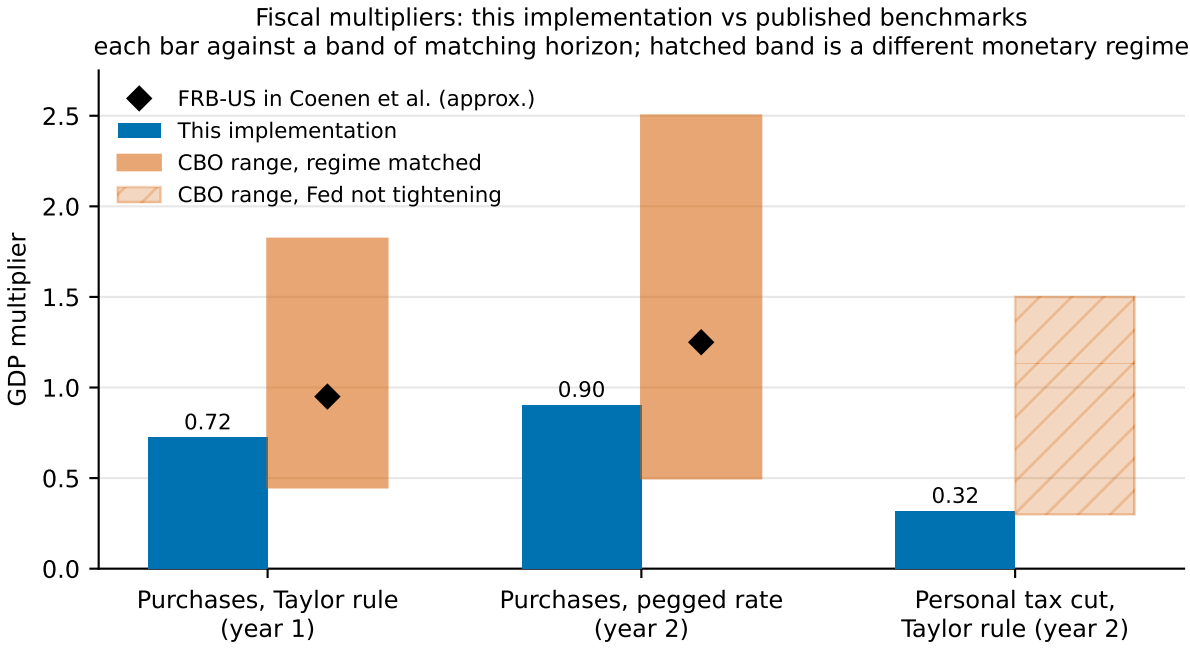
Fiscal multipliers: this implementation vs published benchmarks
each bar against a band of matching horizon; hatched band is a different monetary regime
FRB-US in Coenen et al. (approx.)
This implementation
CBO range, regime matched
CBO range, Fed not tightening
GDP multiplier
0.0
0.5
1.0
1.5
2.0
2.5
0.72
0.90
0.32
Purchases, Taylor rule (year 1)
Purchases, pegged rate (year 2)
Personal tax cut, Taylor rule (year 2)